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Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

Final ..... Examination

Group No. 2 ..... Paper No. 4 .....

Subject ..... Direct Tax .....

Number of Answer Books used : Main + 6 additional sheets

Date Seal

The Roll Number is to be written on this slip only and nowhere else including Additional Answer Books and Graph Paper

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818322

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA — MAY 2025

08 MAY 2025

Paper Code: J P W 1

MCQ Booklet Serial No.: 5316149

Paper No.: 4

Level of Exam: Final

Foundation ① Intermediate ② Final ●

MCQ Answers

1	B	11	D
2	B	12	C
3	A	13	B
4	B	14	A
5	B	15	C
6	A	16	A
7	B	17	A
8	D	18	A
9	A	19	A
10	B	20	A
21	A		
22	C		
23	B		
24	A		
25	C		
26	A		
27	A		
28	A		
29	A		
30	A		

DATE

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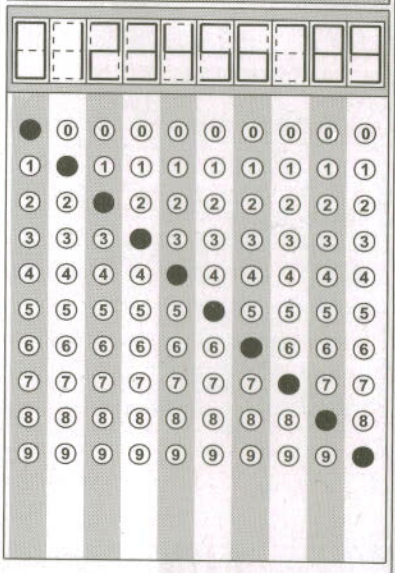
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Illustration for Filling the MCQ Booklet Serial No.



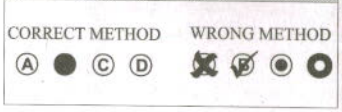
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nly **H.B. Pencil to Darken the appropriate Circle.**

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How to mark answers



Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
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Answer- 4(a)

Q.4.

a.

Answer- 3(a)

Q.3.

a.

(i)

As per Section 13(3) of Income Tax Act, 1961 any person donating more than ₹ 50,000 to a trust shall be deemed to be specified person related with the trust.

Thus, Mr. Keshav is a specified person for KRA Foundation.

Further the Act provides that any transaction with specified person that is beneficial to such person shall be taxed @ 30% under Section 115BBI.

However, in the current scenario KRA Foundation has provided an unsecured loan to Mr. Keshav @ 12%. Scheduled banks charge interest @ 11.5% for similar loans.

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Thus, no benefit is provided to Mr. Keshav in terms of beneficial rate of interest.

However, objects of the trust are to engage in providing old age homes to senior citizens.

In light of same, providing loan at interest is not the object of trust. Further, providing loan is not incidental to objects of the trust.

Thus, it can be contended that KRA foundation has applied its income other than the objects of its formation. Hence, its registration shall be liable to be cancelled.

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(ii)

As per Section 11, voluntary contribution received by trust as corpus shall be exempt provided it is invested in modes prescribed u/s 11(5)

Investment in public sector company is a specified mode u/s 11(5).

Thus, M/s Medi Care Foundation can treat the corpus donation as exempt for FY 2023-24.

However, on 31 March 2025, invested company ceases to be public sector company.

As per Section 11(5), if public sector company ceases to be a public sector company, investment shall be deemed to be in specified mode for

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3 years from such cessation.

Thus, as investment is in specified mode for fy 2024-25, no adjustment is required.

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(iii)

As per Section 194J, any person paying inter alia fee for professional services shall deduct tax at source @ 10%.

Fee for professional services include sum payable towards medical services.

There is no specific exemption for trust u/s 194J.

Thus, tax should be deducted by M/s Medi Care Foundation.

As TDS has been not been deducted 30% of sum paid i.e. (100,000 × 30%.) = 30,000 shall be disallowed while computing its income for the year as provision under Section 40(a)(ia) apply to trusts also.

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Answer- 3(b)

Q.3.
b.

Miss Meera
Income Computation

Income from House Property:-

Net Annual Value (55,000 x 12)	660,000	
(-) Standard Deduction @ 30%	(198000)	462,000

Profit and Gain from Business / Profession

Consultancy Services:-

India (35,70,000 - 960,000)	2610,000	
Country K (960,000 - 250,000)	950,000	3560,000
Total Income		40,22,000

Tax Payable u/s 115 BAC :-

Upto 300,000		Nil	
300,001 - 700,000	5%	20,000	
700,001 - 10,00,000	10%	30,000	
10,00,001 - 12,00,000	15%	30,000	
12,00,001 - 15,00,000	20%	60,000	
15,00,001 - 40,22,000	30%	756,600	896,600

~~Tax Rate in In~~

(+) 4% Health and Education Cess 35,864

Tax Payable 932464

Gross Tax Rate in India

$$\frac{932464}{40,22,000} = 23.18\%$$

(-) ~~Rebat~~

Relief u/s 91

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Taxation in Country K :-

i) Consultancy Fee

Option 1
12,00,000 x 20% = 240,000

Option 2
(12,00,000 - 250,000) x 37% = 351,500

∴ She will opt for Option 1 being lower i.e. ₹ 240,000.

ii) Rent
55,000 x 12 = 660,000
(-) Std Deduction
@ 20% (132,000)
528,000

Tax Rate
27% 142560.

∴ Gross Tax Rate in Country K = $\frac{240,000 + 142560}{12,00,000 + 528,000}$

= 22.14%.

∴ Lower Tax Rate
= 22.14%.

Relief on Doubly Taxed Income :-

Consultancy Fee
930,000 x 22.14% = 210,330

Rent
462,000 x 22.14% = 102 287 312617

∴ Total Relief 312617

∴ Tax Liability 619,847

Rounded off to **619850.**

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Answer - 5(b)

Q.5.

b.

(i)

Answer - 2(a)

Q.2.

a.

As per provisions of Section 10AA and Section 35AD, assessee can claim benefit of either of the 2 sections.
Thus, we need to analyze which of them will be more beneficial to M/s Mittal Metals.

(i) Section 10AA is claimed.

Profit as per Books	30,00,000
(+) Disallowance for excess @ interest on Capital u/s 40(b) [1148,000 / 14% × 12%]	164,000.

Interest on capital is allowed only to the extent of 12% p.a.

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(+) Salary Credited to all 3 partners (900,000 × 3) 27,00,000

∴ PGBP before remuneration 58,64,000

Remuneration Allowed :-
Lower of :-

a) Actual paid to working partners (900,000 × 2) 18,00,000

b)
For First 600,000 of Book Profit higher of :-
600,000 × 90% 540,000
300,000

For remaining @ 60%
5264,000 × 60% 3158400
3698,400

∴ Lower of two (18,00,000)

Gross Taxable Income 40,64,000

Deduction u/s 10AA	(900,000)

As operation started in FY 2019-20, this is 6th year of Operation.
∴ 50% allowed

$$\text{Net Profit} \times \frac{\text{Export T/o}}{\text{Total T/o}} \times 50\%$$

$$24 \times \frac{90}{120} \times 50\%$$

Net Taxable Income	31,64,000
Tax Payable	
Tax @ 30%	9429200
(+) 4% Cess	37968
	987168
	i.e.
	987170

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(ii) Deduction u/s 35 AD is claimed.

PGBP before remuneration (as computed above)		58,64,000
(-) Deduction u/s 35AD		(25,00,000)
(+) Depreciation not allowed (25,00,000 × 10%.)		250,000
		36,14,000

Remuneration Allowed

Actual paid	18,00,000	
(600,000 × 90%.)		
(30,14,000 × 60%.)	2348,400	(18,00,000)
Gross Taxable Income		18,14,000
Tax @ 30%.		544200
(+) 4% HEC		21768
		565968
		i.e.
		565970

∴ It shall claim deduction u/s 35AD.

IF LLP files return after due date of filing return, deduction u/s 10AA shall not be allowed.

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Answer - 2(b)

Q.2.

b. Computation of Income

Capital Gains

Full Value of Consideration	600,000
(-) Transfer Expenses	(50,000)
Net Consideration	550,000
(-) Cost of Acquisition	(110,000)
	440,000
(-) Investment in shares within 6 months [440,000 × 220,000/550,000]	(176,000)
Long Term Capital Gain	264,000

[Capital Gain × Net Investment / Net Consideration]

Income from Other Sources

a) Interest on Government Securities (81,000/90%) 90,000

(Government Securities ~~are~~ are not specified securities under chapter XII-A)

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b) Interest on deposits with Public Limited Companies 325,000
(Expenditure on earning such income is disallowed)

c) Interest on deposit with Private Limited Companies 555,000

Taxable Income 12,34,000

Tax Payable :-

i) LTCG @ 10%
(264,000 x 10%) (before 23/7/24) 26,400

ii) Interest on Government Security (Taxable at normal rates)

iii) Interest of Public Deposits
(325,000 x 20%) 65,000

iv) Interest on Private Company Deposits (taxable at normal tax rates.)

Total Income at normal tax rate

(90,000 + 555,000) 645,000

Tax			
0 - 250,000	Nil		
250,000 - 500,000	5%	12500	
500,001 - 645,000	10%	14500	27,000

Total Tax Liability	118400
(+) 4% Cess	4736
	123,136
(-) TDS Deducted	(9000)
Total Tax Payable	114136
	i.e.
	114,140

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Answer-6(b)

Q.6.
b.

As per provisions of Income Tax Act, 1961, a resident company can apply for getting an advance ruling if ~~trade~~ inter alia, undertaken

(i) In respect of transaction entered/to be with a Non-Resident, for ~~computation~~ determination of tax liability of such non-resident, by framing ~~and~~ question of fact or question of law.

(ii) In respect of his income where the amount of tax liability involved is ₹100 crore or more.

In instant case, it is not clear as to who shall provide technical know-how. If it is provided by PQR Inc., advance ruling can be sought as it is for determination of non-resident's income and liability

If know-how is provided by ABC Ltd, still advance ruling can be sought as tax liability involved is ₹150 crore which is more than the threshold limit.

Board of Advance Ruling has all the powers as a Civil Court determined by Code of Civil Procedures which indudes:-

i) enforcing admission of any person including examining him on oath

ii) calling for books of account or other documents.

iii) issuing commissions

iv) discovery and inspection.

Thus, it can ask for production of books of accounts even though similar ruling has been passed.

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Answer - 6(a)

Q.6.

a.

(i) Under Section 44AB, every person conducting business or profession and having turnover or gross receipts exceeding ₹ 1 crores is required to get his books of account audited by a Chartered Accountant within time limit prescribed.

However, if turnover does not exceed ₹ 10 crores, audit is not mandatory if :-

i) cash receipts does not exceed 5% of total receipts and

ii) cash payments does not exceed 5% of total payments.

In light of above, M/s Narang Mobiles turnover exceeds ₹ 1 crore, but does not exceed ₹ 10 crore.

Thus, additional conditions need to be verified.

Cash Receipts = ₹22,00,000
Total Receipts = 512,00,000

$$\% = \frac{22,00,000}{512,00,000} = 4.30\%$$

Cash Payments = ₹28,00,000
Total Payments = ₹ 550,00,000

$$\% = \frac{28,00,000}{550,00,000} = 5.09\%$$

Thus, cash receipts do not exceed 5% threshold, but cash payments are more than 5% of total payments.

∴ Mr Ram is required to get books of account of

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Narang Mobiles compulsorily audited.

As per Section 269ST, any assessee which is required to get its books of account audited shall not accept any amount exceeding ₹ 200,000 other than by ~~Atc~~ Account Payee Cheque, Demand Draft, ECS or other electronic modes prescribed.

Violation of Section 269ST will lead to penalty @ 100% of the amount received.

Such amount shall be computed on ~~i) amount received by an person o~~

i) amount received from a person on single day
ii) amount in respect of a transaction
iii) amount in respect of an event or occassion from single person.

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Addl. Book No. 1.....

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In light of above, the amount of ₹ 200,000 shall be considered for the entire ~~sale~~ transaction of sale to M/s XYZ and Co.

As entire transaction invoice value exceeds ₹ 200,000, amount should be received by Account payee cheque, demand draft, ECS or other electronic modes.

As ₹100,000 has been received in cash there is violation of Section 269 ST.
Penalty of ₹100,000 will be levied on Narang Mobiles.

Further, amount needs to be disclosed by tax auditor in the tax audit report under the relevant clause.

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(ii) Under Section 10AA of the Income Tax Act, 1961, SEZ unit can claim deduction with respect to its export profits.

As per that section, for inter-unit transfer between connected persons, provisions of Section-80-IA shall apply to SEZ units as well.

Thus, any transfer of goods from non-SEZ unit to SEZ unit that do not correspond to the market prices shall be computed as if such transaction had be undertaken at the market prices.

Thus, SEZ unit cannot gain any benefit of ~~transeff~~ transferring products at less than market prices by non-SEZ unit.

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Thus, there are specific anti-avoidance rules present ~~to~~ under Section 10AA to avoid higher gains to SEZ unit from such inter-unit transactions.

Thus, there is no specific need to invoke GAAR in this case.

However, as per CBDT Circular GAAR and SAAR can co-exist. In light of same, invoking the provisions of GAAR ~~can be so~~ cannot be ruled out.

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Answer-1

Q.1.

Computation of Total Income

~~Par~~

Profits as per Profit & Loss A/c	119,25,000
Add: Amounts disallowed/considered seperately:	
i) Amount paid for transportation in cash	117,000

(Although, provision of 194H will not be attracted due Lower Deduction Certificate submitted by transporter, but Section 40A(3) would be applicable as payment exceeds ₹10,000 and has been in cash on each of the 4 dates. Thus,

amount will be disallowed u/s 40A(3)]

ii) Depreciation as per Books of Account 13,56,000

iii) Bad Debts claimed -
(As per Income Tax Act, 1961, bad debts can be claimed on actual non-recovery. This applies to any Concern formed after succession as well. Successor will be eligible to claim bad debt for debt incurred by predecessor firm. This was held in T. Veerabhadra Rao)

iv) Commission to stock broker -
(As company is engaged in running banquet halls, stock trading is not the objective of company, thus commission paid is not for business purposes. As it is not

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debited, no adjustment. However if it assumed that stock trading is a object, such amount should be deducted. (We have assumed otherwise)

v) Depreciation as per Income Tax Rules ₹133,98,000

(As per Rules, depreciation is computed on block of asset system method. Thus, if it is assumed that block exists and other machinery exists, depreciation shall be provided as per normal provisions u/s 32. As depreciation of ₹15,78,000 is computed as per Rules, there is no requirement of adjusting such amount as it would have been computed as per Block System, on the remaining assets)

~~(However, if it assumed that entity has charged 12,00,000×15% seperatly on such machinery even though it is~~

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Further,
(Discarding machinery from active use does not indicate that depreciation should cease), asset was put to use in earlier previous years)

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Less: Amounts allowed / Considered separately	
i) Dividend received from listed Company (Dividend is taxable under Income from Other Sources)	(540,000)
(ii) Depreciation as per Income Tax Rules (Depreciation should not cease on discarding asset from its active use. As it was used by assessee it will form part of block until actually sold or scrapped, Hence, no adjustment is required)	(15,78,000)
PGBP	112,80,000

(Brought ~~bf~~ forward business loss in case of closely held company can be set-off in subsequent years only if ~~at~~ atleast 50% of shareholding of the company is maintained by the shareholders both in year of incurring loss and year of set-off.)
(Krishna, Kinara and Komal ~~were~~ owned more than 50% shareholding in AY 2020-21 when loss was incurred.
However for AY2025-26 original shareholder have retained only 46.5% shareholding i.e.
Krisha 30 x 5% = 1.5%.
Kinara 25%.
Komal 20%.)
Hence, no set off is available)

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Capital Gain 55,00,000

As per Section 47(xiii) capital gain at time of succession will not be treated as transfer if inter alia, original shareholders ie. partners retain 50% of ~~their~~ total shareholding for 5 years subsequent to such succession to company. As partners of original firm do not hold ~~more~~ 50% shareholding before lapse of 5 years since succession, the exempted capital gain, shall be taxed in year of violation i.e. PY 2024-25. Hence ₹55 lakhs is taxable as ~~₹~~ LTCG)

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Income from Other Sources

i) Dividend from Listed Company
[Grossed up: $\frac{540,000}{0.9}$] 600,000

ii) Deemed Dividend u/s 2(22)(e) 15,00,000

(Loan from closely held company in which entity holds more than 10% stake shall be deemed as dividend to extent of accumulated profits, even if repaid before end of Financial Year)

21,00,000

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Gross Taxable Income	188,80,000
Tax Liability:-	
Tax @ 30% on 133,80,000 (As PY2022-23, turnover exceeds ₹400 crore)	40,14,000 ~~56,64,000~~
Tax @ ~~20~~ 12.5% on 55,00,000 LTCG*	687500
	47,01,500
Surcharge @ 7% (Income exceeds ₹1 crore)	329105 ~~396480~~
	~~60,60,480~~ 5030,605
Health and Education Cess 4%	201224 ~~242419~~
Total Tax Liability	~~63,02,899~~ 5231829
	i.e. 5231830 ~~63,02,900~~
(-) TDS on Dividend	(60,000)
Total Tax Payable	~~62,42,900~~ 51,71,830

If company opts for Section 115BAA, its income will be ₹188,80,000 only, as no specific deductions are being claimed.

Tax @ 22%.	41,53,600
Surcharge @ 10%.	415,360
	45,68,960
(+) 4% cess	182758
	4721718
	i.e.
	4721720

As tax liability

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* As ~~as~~ conditions violated in PY 24-25, it is assumed that violation took place after 23 July 2024.

If company opts for Section 115 BAA

Total Income	188,80,000
Tax on 55,00,000 @ 12.5%.	687500
Tax on Other Income @ 22%.	2943600
	36,31,100
Surcharge @ 10%.	363,110
	39,94,210
(+) Cess 4%.	159768
	4153,978
	i.e.
	4153980

∴ Company should opt for Section 115 BAA.

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Answer - 4(b)

Q.4.
b.

i) Star GmbH

As per section 92A an entity is an associated enterprise of other entity if it holds more than 26% voting rights in that entity

∴ Star GmbH is associated enterprise of Indiana Ltd as it holds 30% voting rights.

~~Moon~~ Inc.

Indiana Ltd has provided guarantee for Euro 12 Million loan, which constitutes

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MAY, 2025

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Moon Inc.

An entity is associated enterprise if another entity appoints more than one half of its Board of Directors.

Indiana ltd appoints only 6 of 15 directors that is 40%.

Thus, it is not associated enterprise

Astroid Ltd

Indiana ltd provides guarantee for ~~of~~ 12 Million loan which comprises only 8% of total borrowings of Astroid Ltd.

Entity should provide ~~more~~ guarantee to more than 10% of loan borrowed to be deemed associated enterprise.

∴ It is <u>not</u> associated enterprise of Indiana Ltd.

(ii)

To compute Arm Length's Price (ALP) of transaction with Star GmBH, transaction with Moon Inc. can be taken as a comparable transaction to find out ALP using resale price method.

Gross Profit on Sale on comparable transaction is 30% of Sale Price.

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Thus,

(ii) Transaction with Moon Inc. can be treated as an uncontrolled comparable transaction for computing Arm length Price after adjusting for functional differences.

∴

Cost per Unit from Moon Inc.	₹ 14000
4) Excess After Sale Warranty for 3 months [14000 x 3% x 3/12]	105
Arm's length Price	14,105
Price Charged by Star GmbH	15,000
∴ Increase in Income on account of ALP (15,000 - 14105) x 1000	₹ 895,000

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Answer- 4(a)

Q.4.
a.

[iii]

As the portal is involved in transaction between buyer and seller, Section 194-O will be attracted.

As per Section 194-O e-commerce operate shall deduct tax @ 0.1% (w.ef 1/10/24) on any transaction for sale of goods or services undertaken through such portal.

As the portal is involved in payment of transaction, one of the conditions under exception to 1940 is not satisfied.

∴ TDS = 11,00,000 x 0.1%.

= ₹1100.

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08 MAY 2025 Addl. Book No. 6

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

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Antique Masters.com will deduct ₹1100 as Tax while paying Mr. Sonu.

(ii) ~~₹~~

Under Section 194H, tax is deducted at source @ 5% (for payments up to ~~₹~~ 30/9/24) and @ 2% (for payments on/after 1/10/24) on commission paid in ~~Thus, ₹~~ excess of ₹15000.

Thus Seal India will deduct tax @ 5% on 175,000

₹8750

and 2% of 160,000

₹3200

On other incentives provided, tax is deducted u/s 194R on perquisites provided ~~to~~ for business purposes. @ 10%.

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∴ TDS u/s 194R on Laptop

60,000 × 10% = ₹6000

TDS u/s 194R on air ticket expenses

100,000 × 10% = ₹10,000

Air ticket expenses are for an event that involves expense paid for family members as well.

∴ TDS applicable.

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[1]

Section 194Q requires payer to deduct tax at source @ 0.1%. in excess of ₹50,00,000 on any transaction for sale for good or service.

∴ Payer has last year turnover more than 10 crore

∴ TDS = 50 x 0.1%.

₹5000

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